RISK MANAGEMENT

Protecting Your Capital

DOJO GAINS - Mentorship

Why Risk Management

- You can have a winning strategy and still blow your account
- One bad trade can wipe out months of gains
- Professional traders focus on risk FIRST, profit second
- Your job: SURVIVE long enough to succeed
- Risk management is not optional - it's everything

Rule #1: Don't lose money. Rule #2: See Rule #1.

The 1-2% Rule

- NEVER risk more than 1-2% of account on a single trade
- $10,000 account = Max $100-200 risk per trade
- This allows you to lose 10+ trades and still survive
- Drawdowns are inevitable - this keeps them manageable
- As account grows, risk amount grows (but % stays same)

1-2% risk = Long-term survival

Position Sizing Formula

Position Size = Risk Amount / Stop Distance

- Example: $10,000 account, 1% risk = $100
- Entry at $50, Stop at $48 = $2 risk per share
- Position Size: $100 / $2 = 50 shares
- Calculate BEFORE entering every trade
- Never adjust size based on 'feeling confident'

Math > Emotion

Risk/Reward Ratio

- R:R = Potential Profit / Potential Loss
- 1:2 R:R means risking $1 to make $2
- Minimum acceptable: 1:1.5 (ideally 1:2 or better)
- Higher R:R = Can be profitable with lower win rate

Win Rate Math:

1:1 R/R needs 50%+ win rate

1:2 R/R needs 33%+ win rate

1:3 R/R needs 25%+ win rate

Stop Loss Placement

- Stop should be at a level that INVALIDATES the trade
- Below swing low (for longs) / Above swing high (for shorts)
- Beyond the FVG or Order Block
- Give enough room - avoid getting stopped by noise
- NEVER move stop further away
- Can move stop to breakeven after 1R profit

Stop = Where your idea is wrong

Daily & Weekly Limits

- Daily Loss Limit: 2-3% of account
- Weekly Loss Limit: 5-6% of account
- Hit the limit = DONE trading for that period
- No exceptions, no 'making it back'
- This prevents emotional trading spirals
- Live to trade another day

Limits save accounts

Taking Partials & Scaling

- Take partial profit at 1R (first target)
- Move stop to breakeven after partials
- Let remainder run to 2R, 3R targets
- This locks in profit while giving room to run
- Example: 50% off at 1R, 50% off at 2R
- Trailing stop for extended moves

Bank profits, let winners run

Non-Negotiable Rules

- 1. Never risk more than 2% per trade
- 2. Always use a stop loss
- 3. Never move stop loss further away
- 4. Honor daily/weekly loss limits
- 5. Calculate position size BEFORE entry
- 6. Minimum 1:2 risk/reward
- 7. No revenge trading after losses

Key Takeaways

- Risk management > Strategy
- 1-2% max risk per trade
- Position Size = Risk / Stop Distance
- Minimum 1:2 R:R on every trade
- Daily/weekly limits protect your account
- Take partials, move to breakeven, let it run

Protect capital first, profits follow